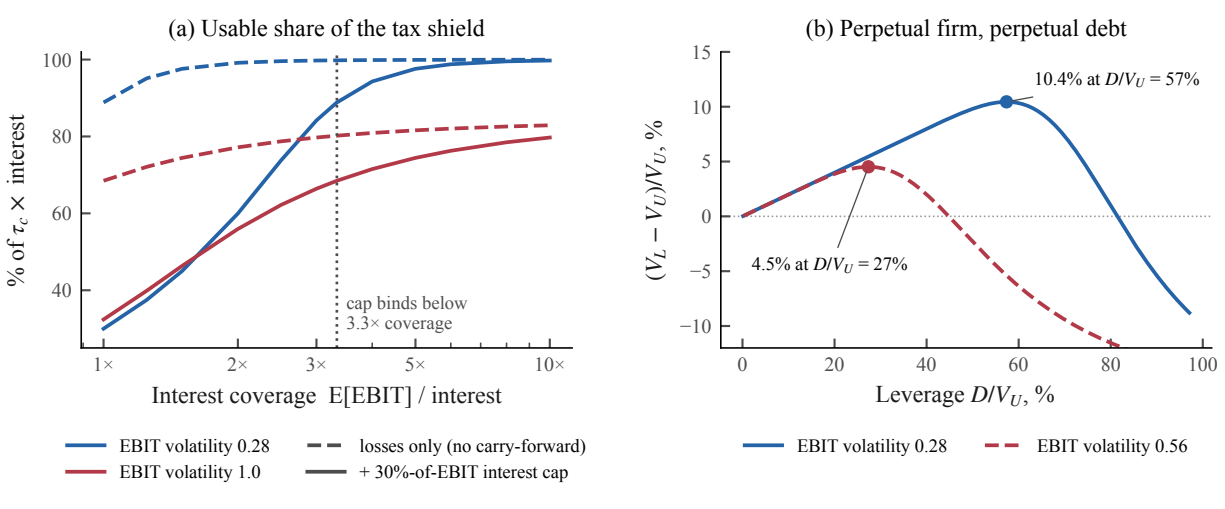
(a) Usable share of the tax shield
% of $\tau_c \times$ interest
100
80
60
40
cap binds below
3.3× coverage
1×
2×
3×
5×
10×
Interest coverage E[EBIT] / interest
EBIT volatility 0.28
EBIT volatility 1.0
losses only (no carry-forward)
+ 30%-of-EBIT interest cap
(b) Perpetual firm, perpetual debt
$(V_L - V_U)/V_U$, %
15
10
5
0
−5
−10
10.4% at D/V_U = 57%
4.5% at D/V_U = 27%
0
20
40
60
80
100
Leverage D/V_U, %
EBIT volatility 0.28
EBIT volatility 0.56